

a pay-it-forward community for SaaS founders—says that over the next decade, the sector is expected to generate \$50-70 billion in revenue and create more than half a trillion dollars in value. This growth is anticipated to foster the rise of more than 100 unicorns and 50 centaurs (start-ups valued at more than \$100 million), while also generating more than 500,000 jobs. India has 19 SaaS unicorns, says the report. The ecosystem is also seeing a seismic shift with the entry of AI and Generative AI (Gen AI).

However, the past two years have seen a slowdown in SaaS investments, as venture capitalists (VCs) exercise caution. Experts suggest that VCs are now primarily targeting B2B SaaS start-ups or those leveraging AI-driven solutions. Preeti Nellore Sampat, Partner at Eximius Ventures—a venture capital firm investing in pre-seed and Series A start-ups—says that the way VCs evaluate companies has changed since 2021. Earlier, market share and growth rates were prioritised; now the focus is on fundamentals. This shift, along with global valuation corrections, has led investors to change their investment strategies. “Consequently, there has been increased caution in selecting business models,” she says, adding that since 2023, however, there has been an uptick in investment activity. “Investments in SaaS are again picking up as of Q4 2023 and Q1 2024.”

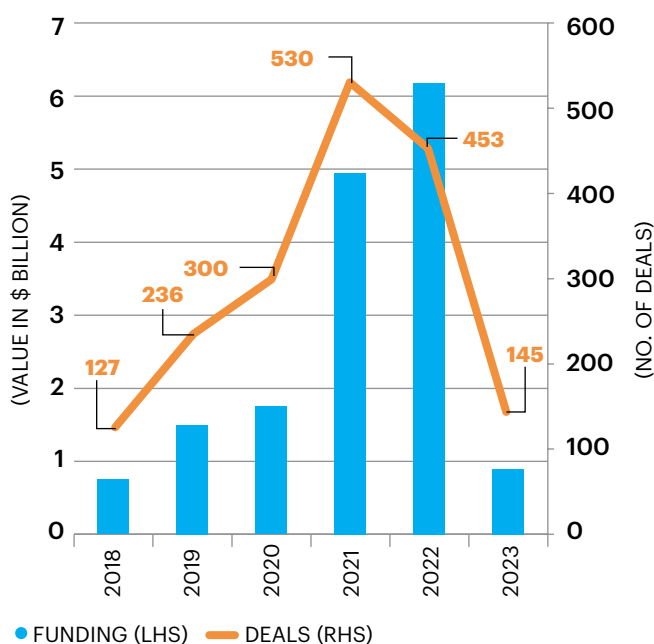
But these are still lower compared to 2022 when the SaaS industry overtook fintech in attracting investments. In 2021, investors deployed almost \$6 billion into Indian SaaS firms, up nearly 3.5x from 2020 and 8x from 2018, says a Bessemer report from 2023. New venture funding, however, fell to \$0.3 billion for H1 2023, the report says.

The global venture landscape

THE HIGHS AND THE LOWS

● SaaS funding surged after 2018, notably during Covid-19, surpassing the fintech industry, an investor favourite

● The first half of 2024 (January-June) saw \$0.53 billion in funding in 49 deals



SOURCE BESSEMER VENTURE PARTNERS



“We’re currently in an AI bubble... VC-funded [SaaS] companies may feel compelled to integrate AI or launch AI features solely to enhance valuation, regardless of actual customer utility”

SRIVIDYA VEMBU
CEO, ZOHU CORPORATION